

Strategy A Portfolio

	BOUGHT	SOLD	% CHANGE
Bethlehem Steel	\$25 $\frac{1}{8}$	\$23 $\frac{1}{8}$	-8.0%
Coca-Cola	32 $\frac{3}{4}$	52 $\frac{1}{2}$	+60.3%
General Motors	46 $\frac{7}{8}$	74 $\frac{3}{8}$	+58.7%
W. R. Grace	53 $\frac{7}{8}$	48 $\frac{3}{4}$	-9.5%
Kellogg	18 $\frac{3}{8}$	29 $\frac{7}{8}$	+62.6%
Mfrs. Hanover	33	39 $\frac{1}{8}$	+18.5%
Merck	80	98 $\frac{1}{8}$	+22.7%
Owens Corning	26 $\frac{7}{8}$	35 $\frac{3}{4}$	+33.0%
Phelps Dodge	39 $\frac{5}{8}$	24 $\frac{1}{4}$	-38.8%
Schlumberger (adjusted for splits)	81 $\frac{7}{8}$	51 $\frac{3}{4}$	<u>-36.8%</u>
			+162.7%

Strategy B

All of the above, plus

Stop & Shop	\$6	\$60	+900.0%
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You would have been unlikely to make a million dollars by investing as much in Dunkin' Donuts stock as you spent on the donuts—how many donuts can a person eat? But if along with the two dozen donuts you bought every week for a year in 1982 (a \$270 total outlay) you had invested an equal amount in shares, then four years later the shares would have been worth \$1,539 (a sixbagger). A \$10,000 investment in Dunkin' Donuts would have resulted in a \$47,000 gain in four years.

If, in 1976, you'd have bought ten pairs of jeans at The Gap for \$180, the jeans would have worn out by now, but ten shares of Gap stock purchased for the same \$180 (\$18 per share was the initial offering price) was worth \$4,672.50 at the market high in 1987. A \$10,000 investment in The Gap would have resulted in a \$250,000 gain.

If during 1973 you'd have spent 31 nights on business trips at La Quinta Motor Inns (paying \$11.98 per night for the room), and you matched the \$371.38 room bill with an equal purchase of La Quinta stock (23.21 shares), your shares would have been worth \$4,363.08 ten years later. A \$10,000 investment in La Quinta would have resulted in a \$107,500 gain.